



Matanza-Riachuelo Basin Sustainable Development Project (P105680)

LATIN AMERICA AND CARIBBEAN | Argentina | IBRD/IDA | Investment Project Financing (IPF) | FY 2009 | Seq No: 33 |
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Implementing Agencies: Ministry of Interior, Public Works and Housing, Unidad Coordinadora General del Proyecto (UCGP)

1. OBJECTIVE

1.1 Development Objective

Original Development Objective (Approved as part of Approval package on 08-Jun-2009)

The overall development objective of the proposed APL program supports the Government's Integrated Basin Cleanup while simultaneously improving sanitary conditions along the banks of La Plata River and providing a long-term and cost-effective solution for safe disposal of wastewater from the Buenos Aires Metropolitan Area (AySAs concession area). The two stage APL program that contributes to this objective and the allocation of works and activities under each APL has been specifically designed to ensure that APL-1 can be free-standing, with no stranded assets at the end of the first stage. The project (APL-1) development objectives contribute to the overall program development objective by (i) improving sewerage services in the M-R River Basin and other parts of the Province and City of Buenos Aires by expanding transport and treatment capacity; (ii) supporting a reduction of industrial discharges to the M-R River, through the provision of industrial conversion grants to small and medium enterprises; (iii) promoting improved decision-making for environmentally-sustainable land use and drainage planning, and piloting urban drainage and land use investments, in the M-R River Basin; and (iv) strengthening ACUMAR's institutional framework for ongoing and sustainable clean-up of the M-R River Basin.

Has the Development Objective been changed since Board Approval of the Project Objective?

No

2. COMPONENTS

Name
Sanitation:(Cost 854,000,000.00)
Industrial Pollution Abatement:(Cost 60,000,000.00)
Environmental Territorial Management:(Cost 40,000,000.00)
Institutional Strengthening and Project Management:(Cost 6,320,000.00)

3. OVERALL RATINGS



Name	Previous	Current
Progress towards achievement of PDO	● Moderately Unsatisfactory	● Moderately Satisfactory
Overall Implementation Progress (IP)	● Moderately Unsatisfactory	● Moderately Unsatisfactory
Overall Risk Rating	● Substantial	● High

4. KEY ISSUES & STATUS

4.1 Implementation Status and Key Decisions

Below is a summary of the Project's implementation progress as of October 2024.

Component 1: Sanitation

1. Works for the construction of the Left Bank Collector and Subaquatic Outfall (Lot 1 and 3) have been completed.
2. The Lot 2 contract for the construction of the Riachuelo Preliminary Wastewater Treatment Plant is expected to be completed by May 2025.
3. The Southwest Sludge Treatment Plant is completed and is being operated by AySA.

Component 2: Industrial Pollution Abatement.

1. Tannery Industrial Park (PIC). Works were completed in May 2022. ACUMAR has been working closely with the tannery association on the development of the PIC operating regulations and processes necessary to enable the operation of the PIC.
2. Industrial Wastewater Treatment Plant (WWTP or PTELI for its Spanish acronym). The PTELI is expected to be completed in August 2025, beginning with the start-up process.

Component 3: Environmental Territorial Management

The works in Cañuelas, Marco Paz, and Villa 21-24 are in operation.

Two additional contracts of the component are:

1. Sarandí Canal Bridges, Buenos Aires - La Plata Highway. The contract for the construction of the bridges was signed in January 2024.
2. Integrated Center for Environmental Monitoring and Control (CIMCA) for the Basin. The contract for air quality monitoring stations was signed in March 2023 and the contract for water quality monitoring stations was signed in December 2023.

5. SYSTEMATIC OPERATIONS RISK-RATING TOOL

Risk Category	Rating at Approval Approval Package - 09 Jun 2009	Last Approved Rating ISR Seq. 032 - 24 Jun 2024	Proposed Rating
Political and Governance	● Substantial	● Substantial	● Substantial



Macroeconomic	● High	● High	● High
Sector Strategies and Policies	● Moderate	● Moderate	● Moderate
Technical Design of Project or Program	● Substantial	● Substantial	● Substantial
Institutional Capacity for Implementation and Sustainability	● Moderate	● Moderate	● Moderate
Fiduciary	● High	● High	● High
Environment and Social	● Substantial	● Substantial	● Substantial
Stakeholders	● Substantial	● Substantial	● Substantial
Overall	● High	● Substantial	● High



6. RESULTS

6.1 PDO Indicators by PDO Outcomes

Improve sewerage services in the M-R River Basin by expanding transport and treatment capacity								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Annual discharge of sewage adequately treated from the Riachuelo System (Left Margin Collector, Dock Sud Pretreatment Plant and Riachuelo Outfall) (Cubic meters/year)	0.00	Apr/2009	0.00	07-Jun-2024	0.00	08-Oct-2024	378,432,000.00	Sep/2025
	Comments on achieving targets		The indicator will achieve the end target once Component 1 (Lot 1, 2, and 3) works are completed and operational.					
Support a reduction of industrial discharges to the M-R River								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Volume (mass) of COD pollution load reduction achieved under the project (Tones/year)	0.00	Nov/2015	23.50	07-Jun-2024	23.50	08-Oct-2024	12,437.00	Sep/2025
	Comments on achieving targets		The indicator will achieve the end target once all wastewater treatment facilities are finalized and operational.					
Number of enterprises in the matching grants program that have reduced their discharge loads according to their PRIs (Number)	0.00	Apr/2009	3.00	07-Jun-2024	3.00	08-Oct-2024	3.00	Sep/2024
	Comments on achieving targets		All enterprises in the matching grant programs have complied with PRIs audits.					



Promote environmentally-sustainable land use and drainage planning in the M-R River Basin								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Development of a Flood Contingency and Emergency Response Plan for the Basin (Yes/No)	No	Jan/2017	Yes	07-Jun-2024	Yes	08-Oct-2024	Yes	Sep/2024
	Comments on achieving targets		ACUMAR has developed and undergoing the implementation of the Flood Contingency and Emergency Response Plan. The end target has been achieved.					
Strengthen ACUMAR's institutional framework for ongoing and sustainable clean-up of the M-R Basin								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
ACUMAR is fully staffed against its new organigram, operates with its own operating budget and is fully able to fulfill the functions vested in it by law. (Yes/No)	No	Apr/2009	Yes	07-Jun-2024	Yes	08-Oct-2024	Yes	Sep/2024
	Comments on achieving targets		ACUMAR's institutional framework was strengthened. According to internal reports, the basin authority has its own budget and is able to fulfil the functions vested in it by law. The target is achieved.					

6.2 Intermediate Results Indicators by Components

Sanitation								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Linear kilometers of the Left Bank collector (including Baja Costanera bypass collector)	0.00	Apr/2009	28.87	07-Jun-2024	28.87	08-Oct-2024	28.80	Sep/2024
	Comments on		Lot 1 contract is complete.					



and the secondary network) completed (Kilometers)	achieving targets							
Linear kilometers of the Riachuelo outfall completed (Kilometers)	0.00	Apr/2009	11.95	07-Jun-2024	11.95	08-Oct-2024	11.90	Sep/2024
	Comments on achieving targets		Lot 3 works finalized.					
Industrial Pollution Abatement								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Number of annual field audits conducted by ACUMAR, including sampling/lab tests of enterprises of the basin. (Number)	0.00	Apr/2009	107.00	07-Jun-2024	107.00	08-Oct-2024	800.00	Sep/2025
	Comments on achieving targets		The reported number of annual audits corresponds to the period between January and April 2024					
Environmental Territorial Management								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Number of beneficiaries with improved access to water and sanitation services in poor settlements and low-income neighborhoods. (Number)	0.00	Nov/2015	76,800.00	07-Jun-2024	76,800.00	08-Oct-2024	50,000.00	Sep/2024
	Comments on achieving targets		The end target has been achieved in November 2022, and the result comprises beneficiaries from finalized water and sanitation works in Marcos Paz, Cañuelas and Villa 21-24.					
Increase in connections to improved water supply services for female-headed single parent households (Percentage)	0.00	Apr/2021	0.00	07-Jun-2024	0.00	08-Oct-2024	5.00	Sep/2025
	Comments on achieving targets		ACUMAR has been working on the baseline. This indicator will be updated once the results are available and shared by ACUMAR.					
Increase in sewerage connections for female-headed single parent	0.00	Apr/2021	0.00	07-Jun-2024	0.00	08-Oct-2024	5.00	Sep/2025
	Comments on achieving targets		ACUMAR has been working on the baseline. This indicator will be updated once the results are available and shared by ACUMAR.					

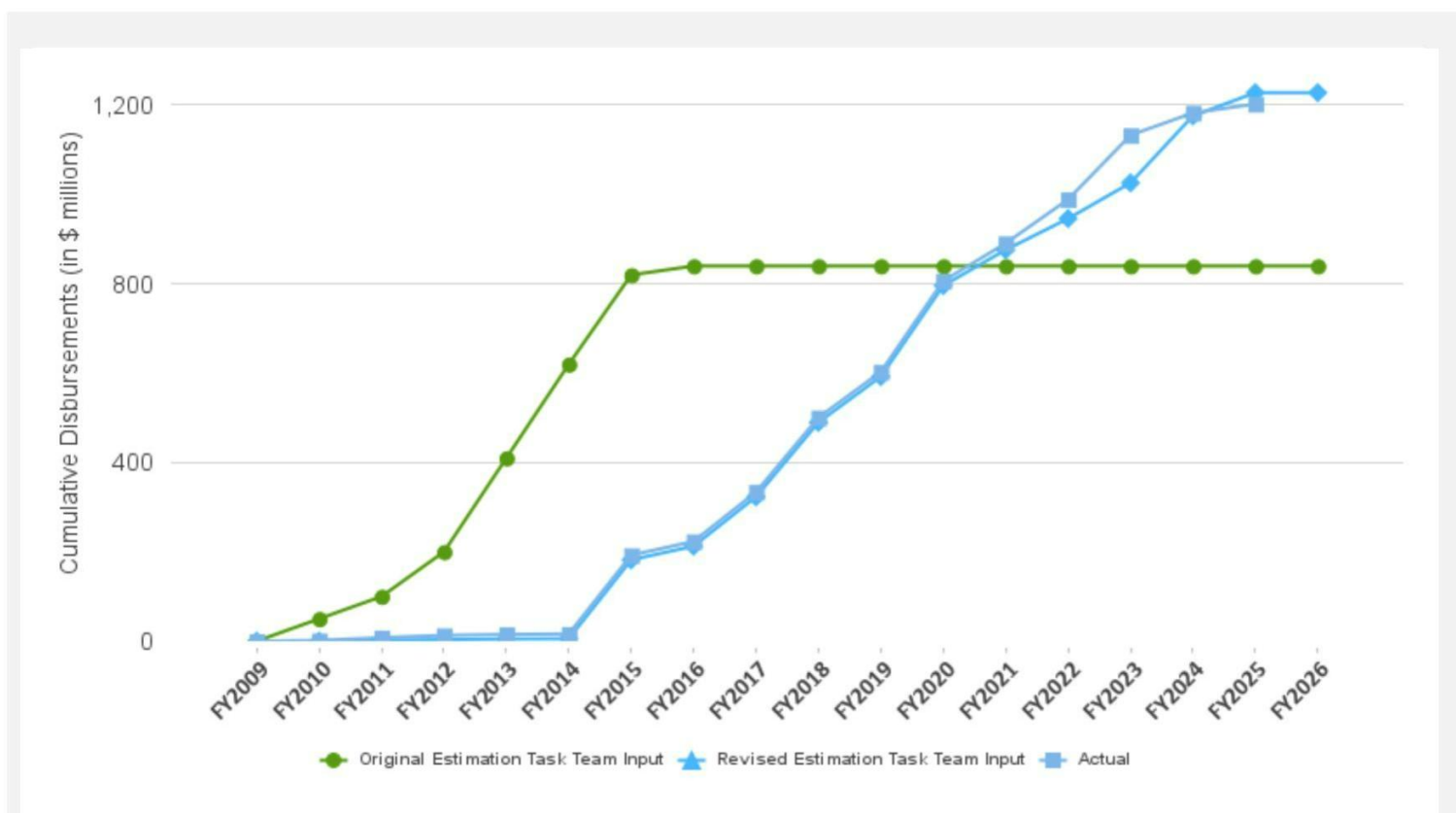


households (Percentage)								
Institutional Strengthening and Project Management								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Value	Month/Year	Value	Date	Value	Date	Value	Month/Year
Development of a new organigram and staffing plans for ACUMAR (Yes/No)	No	Apr/2009	Yes	07-Jun-2024	Yes	08-Oct-2024	Yes	Sep/2024
	Comments on achieving targets		As informed by ACUMAR's internal reports, this indicator's target is achieved.					
Percentage of complaints and grievances received on the Riachuelo System works by AySA that are responded within 48 hours (Percentage)	0.00	Dec/2018	100.00	07-Jun-2024	100.00	07-Jun-2024	100.00	Sep/2025
	Comments on achieving targets		The reported number of complaints and grievances corresponds to the period between January and April 2024.					
Percentage of complaints and grievances on the Riachuelo System that are resolved. (Percentage)	0.00	Dec/2018	100.00	07-Jun-2024	100.00	08-Oct-2024	100.00	Sep/2025
	Comments on achieving targets		The reported number of complaints and grievances corresponds to the period between January and April 2024. Progress has been made with respect to the previously reported value.					



7. DATA ON FINANCIAL PERFORMANCE

7.1 Cumulative Disbursements



7.2 Disbursements (by loan)

Loan/Credit/TF	Status	Original	Revised	Cancelled	Disbursed	Undisbursed	% Disbursed	Historical Disbursed
IBRD-90080	Effective	245.00	245.00	0.00	237.99	7.01	97.14%	245.00
IBRD-77060	Effective	840.00	718.03	121.97	716.86	1.17	99.84%	840.00
IBRD-92520	Effective	265.00	265.00	0.00	240.67	24.33	90.82%	265.00

7.3 Key Dates (by loan)



Loan/Credit/TF	Status	Approval	Signing	Effectiveness	Orig. Closing	Rev. Closing
IBRD-77060	Effective	09-Jun-2009	25-Aug-2009	20-Jul-2010	31-Mar-2016	30-Sep-2025
IBRD-90080	Effective	05-Sep-2019	12-Nov-2019	09-Dec-2019	31-Mar-2022	30-Sep-2025
IBRD-92520	Effective	01-Jun-2021	28-Sep-2021	20-Jan-2022	30-Sep-2024	30-Sep-2025

8. KEY DATES

Key Events	Planned	Actual
Approval	Not Available	09-Jun-2009
Effectiveness	20-Jul-2010	20-Jul-2010
Mid-Term Review No. 01	04-Feb-2013	06-May-2013
Operation Closing/Cancellation	30-Sep-2025	

9. RESTRUCTURING HISTORY

Restructuring Level 2 Approved on 23-Dec-2015
Restructuring Level 2 Approved on 08-Mar-2017
Restructuring Level 2 Approved on 12-Apr-2019
Restructuring Level 2 Approved on 16-Jun-2023
Restructuring Level 2 Approved on 18-Sep-2024

10. ASSOCIATED OPERATION(S)

There are no associated operations